The Editors
Applied Stochastic Models in Business and Industry

November 4, 2026

Dear Editors,

I submit the manuscript "Online Anchor-Robust Forecasting under Economic Regime Shift" for consideration as a research article in *Applied Stochastic Models in Business and Industry*. The paper comes to you through the Wiley Transfer Desk. It was reviewed at the *Journal of Forecasting* (manuscript 7441141) and declined there. I have since revised it substantially, and the version uploaded here replaces the one that was reviewed. A separate document lists each point of the reviewer's report and the change made in response.

The paper addresses a practical forecasting problem: a model fitted on past regimes can fail when a driver such as geopolitical risk or policy uncertainty moves to a level not seen before. Most online methods react after the loss has risen. The paper asks whether a forecaster can be made robust in advance when the shift moves an observed driver. The method, OARF, is an online version of anchor regression with a single penalty that reduces it to online gradient descent when set to zero. For a supplied driver channel I prove a no-regret bound against a comparator evaluated under the worst bounded shift of the driver. A simulation study with a known structural model shows a large gain in worst-case error and uses stress tests to show where the gain disappears. An application to weekly Brent crude and Henry Hub gas volatility shows that the learned combinations beat a persistence forecast but that OARF is not better than online gradient descent there, and the paper reports this result as it is.

I think the paper fits the journal because it combines a stochastic model of regime change, an online estimator with a guarantee, and a real business application, and because it gives a practitioner a concrete procedure for deciding when the method should and should not be used.

The main changes since the review are the following. The real-data target is now weekly realised variance over non-overlapping weeks, so no part of the target is known when the forecast is made; the earlier overlapping daily design is kept in an appendix for comparison. A persistence forecast and an equal-weight average are reported as benchmarks. The paper now opens with a short worked forecasting example, presents the basic method with a known anchor before any extension, states what the anchor must satisfy in the empirical application, and moves the learned-anchor extension to its own section after the main results.

Code, data-build scripts and the commands that regenerate every number, table and figure are available at `https://github.com/vinhqdang/OARF-Online-Anchor-Robust-Forecasting-under-Economic-Regime-Shift`.

The manuscript is original, has not been published, and is not under consideration elsewhere. I have no competing interests to declare. The study uses only public, non-personal data and did not require ethics approval.

Thank you for considering the manuscript.

Sincerely,

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